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POLICY NUMBER: **FP-FIN-044**

LOYALTY PROGRAMS

ACCOUNTING POLICY

The purpose of this policy is to provide guidance regarding loyalty programs, specifically, the Hilton Honors loyalty program ("Hilton Honors") in order to align Hilton Worldwide Holdings Inc.'s (the "Company's" or "Hilton") accounting methodology with U.S. Generally Accepted Accounting Principles ("GAAP") Accounting Standards Codification ("ASC").

POLICY STATEMENT

In order to encourage higher levels of brand loyalty and repeat business, Hilton sponsors and administers a loyalty program, Hilton Honors. Individuals who join the program ("Members") can earn and accumulate loyalty points ("Honors Points" or "Points"), which Members can redeem for a free, discounted or upgraded hotel stays as well as other rewards. As part of Hilton's management and franchise agreements, Hilton requires all Hotel Owners to participate in Hilton Honors. When a Member stays at a managed, franchised or owned or leased hotel, the Member will earn Honors Points and Hotel Owners will pay a separate variable fee to Hilton (the "Honors Fees") for the issuance of those points to the Member. Hilton also enters into arrangements with third party partners such as a credit card company ("Strategic Partners") with whom Members can earn points when they purchase goods or services through the Strategic Partner. Further, when a Member redeems their Honors Points for a free, discounted or upgraded hotel stay, or other rewards, Hilton will make a payment to the Hotel Owner or Strategic Partner upon the reward stay or purchase of the other reward.

SCOPE

This policy provides guidance on the accounting for Honors Fees received from Hotel Owners and fees received from Strategic Partners. This policy should be read in conjunction with the **FP-FIN-020 – Revenue Recognition Policy**.

APPLICABILITY

This policy applies to all Finance personnel.

EXCLUSIONS/ EXCEPTIONS

None

AUTHORIZATIONS

Required Consultations with Accounting Research & Policy

Process Owners should ensure they are following the latest consultation requirements via the management or franchise license agreement checklist (as required).

As discussed below, Process Owners must consult with Accounting Research & Policy regarding the accounting treatment related to any new or amended Strategic Partnership agreements in which Hilton Honors Points are issued to the Strategic Partner's customers.

RECOGNITION AND MEASUREMENT

When a Member stays at a Hilton hotel or purchases non-Company products or services from a Strategic Partner and is awarded Hilton Honors Points as part of that transaction, which can then be accumulated and redeemed for free, discounted or upgraded hotel stays as well as other rewards (e.g. golf clubs, airline miles), the Member is in effect paying in advance for that future free or discounted good or service. Therefore, a portion of the fees received by Hilton shall be allocated to this performance obligation (the "Points Redemption") and recognized as revenue when the Member redeems the Hilton Honors Points for a good or service and Hilton provides or arranges for that good or service to be provided to the Member¹.

Additionally, as part of Hilton's Strategic Partner arrangements, Hilton grants the Strategic Partner with the right to use Hiltons' brand names, which is a separate performance obligation within the Strategic Partner arrangements similar to the Hotel System IP license offered to Hotel Owners. Refer to the **FP-FIN-020 Revenue Recognition Accounting Policy** for further details regarding the general performance obligations within Hilton's management and franchise agreements.

a. Honors Fee Received from Hotel Owners – Initial Deferral

As part of Hilton's management and franchise agreements, Hilton receives various recurring fees such as base and incentive management fees, royalty fees, program fees, group services and benefits fees, and Honors Fees. Refer to the **FP-FIN-030**

¹ ASC 606-10-25-27, Revenue from Contracts with Customers, Overall, Recognition

Revenue Recognition – Management and Franchise Contracts Accounting Policy for further details on the accounting treatment of the recurring fees within Hilton's management and franchise agreements. This policy only applies to the accounting for the Honors Fees charged to Hotel Owners, which is only charged to Hotel Owners when a Member has a paid transaction at the Hotel Owner's hotel.

The Honors Fee is directly related to the issuance of Hilton Honors Points to the Member and Hilton's efforts to satisfy the future redemption of those Hilton Honors Points. Therefore, it will be deferred upon receipt until the related points are redeemed. Refer to the **Principal versus Agent Considerations** and **Hilton Honors Point Redemption Liability** subsection below for further detail regarding the split of these fees to two separate liability that will be recognized upon the deferral.

b. Honors Fee Received from Owned and Leased Hotels – Initial Deferral

Similar to Hilton's managed and franchise hotels, a portion of room stay revenue from Hilton's Owned and Leased Hotels will also be deferred upon receipt until the related points are redeemed. The amount of room stay revenue that will be deferred will be equal to the Honors Fee that the Owned/Leased Hotel pays to Hilton's Hilton Honors entity as this fee aligns with the allocation of the transaction price on a relative standalone selling price basis between the Points Redemption performance obligation and the room stay obligation. This entry will only be deferred at a consolidated level and does not affect the standalone accounting at the Owned and Leased Hotel. As the Owned and Leased Hotels record the payment of the Honors Fee to Hilton's Hilton Honors entity as a marketing expense on a standalone basis, a consolidating entry will be recorded to reclassify this expense as a reduction of revenue instead.

c. Fees Received from Strategic Partners – Initial Deferral

As part of Hilton's Strategic Partner agreements, Hilton receives various recurring fees related to the Strategic Partner's issuance of Hilton Honors Points to Members and for the use of Hilton's brand names. The vast majority of the fees charged under these types of arrangements are variable fees based on the number of Hilton Honors Points awarded or the underlying transactions related to the Strategic Partner's business. Hilton's agreements typically specify a royalty rate related to the allocation of the fees between the license and the points, which generally aligns with the allocation of the transaction price on a relative standalone selling price basis.

The portion of the fees under a Strategic Partner agreement that are allocated to the right to use Hilton's brand names will be recognized as revenue as earned on a monthly basis as the underlying sales or usage occurs. The portion of the fees that are allocated to the Points Redemption performance obligation will be deferred and recorded as liabilities and recognized as revenue upon redemption (refer to the **Recognizing Revenue** subsection below for more details). Refer to the **Principal versus Agent Considerations** and **Hilton Honors Point Redemption Liability** subsection below for further detail regarding the split of these fees to two separate liabilities that will be recognized upon the deferral.

d. Principal versus Agent Considerations

When more than one party is involved in providing products or services to the Member, as is the case when a Member redeems their Hilton Honors Points at a non-Owned and Leased hotel, Hilton must determine if it is the principal or agent in the transaction. Refer to **FP-FIN-020 Revenue Recognition Policy** for more details regarding principal versus agent determination. Depending on what good or service is provided when the Hilton Honors Points are redeemed, Hilton is either the principal or agent as follows:

1. *Redemption for a free or discounted stay at an Owned/Leased Hotel:* If a Member redeems their Hilton Honors Points for a stay at one of Hilton's Owned or Leased Hotels, then Hilton is the principal in the redemption transaction because Hilton controls the service of providing a room stay to the Member.
2. *Redemption for a free or discounted stay at a Managed/Franchised Hotel:* If a Member redeems their Hilton Honors Points for a stay at one of Hilton's managed or franchised hotels, then Hilton is the agent in the transaction because Hilton does not control the service of providing a room stay to the Member. Refer to **FP-FIN-020 Revenue Recognition Policy** for an example of Hilton's principal versus agent determination at a managed hotel.
3. *Redemption for a free or discounted good or service from a third party vendor:* If a Member redeems their Hilton Honors Points for a good or service from a third party vendor, then Hilton is the agent in the transaction because Hilton does not control the specified good or service before that good or service is transferred to the Member.

As the large majority of Hilton Honors Point redemptions occur at either a managed or franchise hotel or through a third party vendor (i.e., Hilton is an agent upon the redemption of the Points and upon redemption would recognize revenue on a net basis equal to the fees retained), Hilton will reduce the deferred revenue amount related to the fees received for outstanding points by the expected amount that will be paid to third parties upon redemption of the points issued (i.e. the commission it expects to pay to the third party principal).

The following table illustrates the balance sheet presentation of the deferred fees:

Description	Amount	Financial Statement Line Item(s)
Fees Received	\$1,000,000,000	N/A
Expected amount that will be paid to third parties upon point redemption	\$800,000,000	Accounts payable Liability for guest loyalty program
Net Amount of Revenue that will be recognized	\$200,000,000	Deferred Revenues

e. Recognizing Revenue

Revenue allocated to the Points Redemption performance obligation should be recognized when the Member redeems the Hilton Honors Points for a good or service and Hilton provides or arranges for that good or service to be provided to the Member². Hilton will account for the redemption of Hilton Honors Points on a first-in-first-out ("FIFO") methodology based on the number of Hilton Honors Points expected to be redeemed for a tranche of fees taking into consideration an estimate for breakage (i.e., total fees related to the issuance of Hilton Honors Points in a given month). The estimate of the number of Hilton Honors Points that will be redeemed will be updated based on actual Points redeemed and purged to date and the breakage estimate for Points outstanding at the end of the period. The following table illustrates the FIFO methodology and how revenue will be recognized:

Illustration I – Recognizing Revenue upon Point Redemption				
	January	February	March	April
Beginning Point Balance (A)	-	10,000,000	5,000,000	1,500,000
Points Issued (B)	10,000,000	-	-	-
Points Redeemed (C)	-	4,000,000	3,000,000	1,500,000
Points Purged (D)	-	1,000,000	500,000	-
Ending Point Balance (E = A + B - C - D)	10,000,000	5,000,000	1,500,000	-
Breakage (F)	25%	20%	20%	20%
Remaining Points Expected to be Redeemed (G = E * (1 - F))	7,500,000	4,000,000	1,200,000	-
Cumulative Points Expected to be Redeemed (H = ΣC + G)	7,500,000	8,000,000	8,200,000	8,500,000
Total Fees Received Related to this Tranche (I)	1,000,000	1,000,000	1,000,000	1,000,000
Less: Estimated Payments to Third Parties (J)	(600,000)	(600,000)	(600,000)	(600,000)
Net Fees Received (K = I - J)	400,000	400,000	400,000	400,000
Revenue per Point Redeemed (L = K / H)	0.053	0.050	0.049	0.047
Revenue Recognized in Period (M = (ΣC * L) - ΣM)	-	200,000	141,463	58,537
Cumulative Revenue Recognized (ΣM)	-	200,000	341,463	400,000

Note that certain amounts in the table are subject to rounding differences

Further, upon providing the Honors Member a reward stay, Hilton's Owned and Leased Hotels will recognize revenue equal to the amount received by Hilton's Hilton Honors entity as room revenues (i.e. Owned and leased hotel revenues).

² ASC 606-10-25-27, Revenue from Contracts with Customers, Overall, Recognition

FINANCIAL STATEMENT LINE ITEMS AFFECTED

Note: The following section addresses the financial statement line items affected by the accounting for routine transactions covered by this policy (R&P consultation may be required per the authorization section above). For all transactions that require a consultation with R&P, please defer to the guidance provided by R&P regarding the appropriate financial statement line items affected by the transaction.

<u>Transaction</u>	<u>Affected</u>		
	<u>Balance Sheet Line Item</u>	<u>Income Statement Line Item</u>	<u>Cash Flow Statement Section</u>
Initial recording of deferred revenue and Hilton Honors Point Redemption Liability for Honors Fees received from managed and franchised hotels	- Deferred revenues (credit) - Liability for guest loyalty program (credit) - Accounts receivable, net (debit) or Cash and cash equivalents (debit)	- N/A	- Operating Activities (reconciling item to net income)
Consolidating entry to reclassify Owned and Leased Hotel expense associated with Hilton Honors fees paid to a reduction in Owned and Leased Hotel revenue	- N/A	- Owned and leased hotels revenue (debit) - Owned and leased hotels expense (credit)	- N/A
Initial recognition of franchise fee revenues, deferred revenue and Hilton Honors Point Redemption Liability for Strategic Partner fees received	- Deferred revenues (credit) - Liability for guest loyalty program (credit) - Accounts receivable, net (debit) or Cash and cash equivalents (debit)	- Franchise fees (credit)	- Operating Activities (reconciling item to net income)
Reclassify points expense when Member redeems their Points, but the future good or service has not yet been provided to the Member (e.g., a Member books a hotel stay with Points for a future date)	- Liability for guest loyalty program (debit) - Deferred revenues (debit) - Accounts payable (credit)	- N/A	- N/A
Revenue Recognition when a Member redeems Points at a managed or franchised hotel, or third-party	- Deferred Revenues (debit) - Liability for guest loyalty program (debit) - Accounts payable (credit) or Cash and cash equivalents (credit)	- Other revenues from managed and franchised properties (credit)	- Operating Activities (reconciling item to net income)
Consolidated Entry - Revenue Recognition when a Member redeems Points at an Owned and Leased Hotel	- Deferred Revenues (debit) - Liability for guest loyalty program (debit)	- Owned and leased hotels revenue (credit)	- N/A
Standalone Hotel Entry - Revenue Recognition when a Member redeems Points at an Owned and Leased Hotel	- Accounts receivable, net (debit) or Cash and cash equivalents (debit)	- Owned and leased hotel revenues (credit)	- Operating Activities (reconciling item to net income)

RELATED DOCUMENTS, TOOLS, AND TEMPLATES

POLICIES & PROCEDURES

[FP-FIN-020 Revenue Recognition Accounting Policy](#)

[FP-FIN-030 Revenue Recognition – Management and Franchise Contracts Accounting Policy](#)

TERM/ACRONYM	DEFINITION
Contract	An agreement between two or more parties that creates enforceable rights and obligations.
Customer	A party that has contracted with an entity to obtain goods or services that are an output of the entity's ordinary activities in exchange for consideration.
Performance Obligation	A promise in a contract with a customer to transfer to the customer either: a. A good or service (or bundle of goods or services that is distinct A series of distinct goods or services that are substantially the same and that have the same pattern of transfer to the customer.
Transaction Price	The amount of consideration to which an entity expects to be entitled in exchange for transferring promised goods or services to a customer, excluding amounts collected on behalf of third parties.

ROLES AND RESPONSIBILITIES

ENTITY/PERSONNEL	RESPONSIBILITIES
AccountingResearch&Policy@Hilton.com	The email represents the Accounting Research and Policy contact address. Please direct any questions regarding the interpretation or implementation of this policy to a member of the Accounting Research and Policy team or the listed e-mail.